Germany, was succeeded by Erich Honecker as First Secretary of the Central Committee of East Germany's ruling Socialist Unity (Communist) Party.

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From then on, Berlin gradually lost its importance on the world stage of East-West confrontation, and within a year tensions eased further with the signing of the so-called 'Transit Agreement', making the passage of goods and travellers from both sides easier. It also represented the first legal 'recognition' of the German Democratic Republic by the FRG. The two signatories, Bonn State Secretary, the cautious Egon Pahr, and his East German counterpart, Dr Michael Kohl, expressed readiness to enter an 'exchange of views' on the establishment of normal relations. The move came after Honecker – displaying a newly found flexibility – stated that 'peaceful coexistence' and 'good neighbourly relations' were possible after the 'Four Power Agreement'. Indeed, the second strand in improved relations was signed in December 1972 with 'The Basic Treaty' which developed relations further. In Article 6, both sides agreed that 'the sovereignty of each of the two states is limited to its national territory. They respect the independence and autonomy of each of the two states in their internal and external affairs.' And, although the FRG didn't recognise the GDR as a separate foreign state under international law, the treaty heralded greater international recognition for East Germany and proved a boon as exceptionally favourable West German credits and new trade flooded forth, yielding valuable hard currency.

Meanwhile, in West Germany, an early Bundestag election was called after a vote of no confidence against Willy Brandt. After surviving, Brandt embarked on an ambitious reform policy by lowering the voting age to 18, promoting the emancipation and equality of women and strengthening the right to sexual determination. Other important reforms included environmental protection laws, a revamp of health care, family law, and an overhaul of the penal system. Brandt also contrasted the pursuit of economic growth with the new concept of 'quality of life', which sought to